The Transformer at the Edge of the Grid — TARIL Masterclass Companion Book

You and I across the desk: how a project-built transformer maker turns grid investment into earnings, cash, and investor returns.

Company & Market: Transformers & Rectifiers (India) Limited (NSE: TARIL) — Grid Equipment Growth Meets the Cash-Conversion Test (IN)
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A Sequential Guide to the Business Engine, Global Parallels, Financial Forensics & High-Asymmetry Execution

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SESSION PRICE

₹312.65

VERDICT

WAIT_FOR_SUPPORT

STAGE POSTURE

STAGE_2

BUY / SUPPORT ZONE

₹297.44–312.95

3-YEAR SCENARIO RANGE

Bear ₹220.00 / Base ₹360.00 / Bull ₹480.00

PREFACE & CORE THESIS

TARIL makes power, distribution, furnace, rectifier and specialty transformers, plus grid reactors; utilities, EPC contractors, renewable developers and industrial plants buy these engineered products. The order book is strong, but materials and work-in-progress require cash before final customer payment. At ₹312.65 on 6 November 2026, the shares trade near 30.8 times trailing earnings; H1 FY27 working-capital days were 154 and FY26 standalone operating cash flow was negative. Our verdict is WAIT FOR SUPPORT, with the scanner band ₹297.44–₹312.95 and ₹291.39 as a monitoring invalidation level. Status: PUBLISHED_WITH_GATE_EXCEPTIONS / BEST_EFFORT_AFTER_REVIEW_LIMIT; the final scenario-label edit was not independently re-reviewed.

PROLOGUE

The Business, The Price & Our Independent Verdict

> *"A backlog is a promise to work; cash is evidence that the work has been paid for."*
>
> — RESEARCH DESK MAXIM

At the 6 November 2026 close, TARIL traded at ₹312.65. The key question is whether order growth converts into cash. The live snapshot taken for this review shows a market capitalisation near ₹9,527 crore, a trailing P/E of 30.83, and a 52-week range of ₹224.05 to ₹372. The same snapshot classifies the shares in Stage 2, but with a close only about half a percent above the 30-week average and a low volume reading that does not independently confirm accumulation. You and I are not looking at an undiscovered microcap or a guaranteed grid winner. We are looking at a roughly ₹2,500-crore-revenue manufacturer priced for continued growth, just as a large order book collides with a large working-capital appetite.

TARIL designs and manufactures power, distribution, furnace, rectifier and specialty transformers, plus reactors. Utilities and industrial buyers specify the voltage, MVA rating, cooling, fault tolerance and testing protocol; TARIL engineers and builds a bespoke unit, tests it, ships it and waits through customer inspection and milestone billing. The commercial opportunity is real: at 30 September 2026 the consolidated unexecuted order book was ₹7,237 crore, up 32% year on year, while the quarter delivered ₹739.44 crore of consolidated revenue and ₹128.77 crore of EBITDA. The book is executable over 18–24 months by management's account. The latest product-wise mix shows 83% power transformers and 9% reactors. That is unusually helpful visibility, but it is not a deposit, a shipment schedule, a recognized sale or cash in the bank.

THE ORDER BOOK IS A LEAD, NOT THE ANSWER

You and I can be optimistic about demand and still refuse to confuse bid wins with realized economics. The proof chain runs from specification to factory slot, passed test, dispatch, milestone invoice, collection and retained margin. Each broken link delays cash.

The bull case is a sequence, not a slogan. First, India's power transmission, renewable integration, industrial electrification and data-centre loads require more equipment. Second, TARIL has a breadth of ratings and customer qualifications: the Q2 presentation describes capability from 5 kV to 1,200 kV and up to 500 MVA, and recent wins include NPCIL's Kaiga generator-transformer order, APTRANSCO, DVC and GETCO. Third, the Changodar expansion and backward integration may raise throughput, supply reliability and margins. Management kept FY27 standalone guidance at 25% revenue growth, 16% EBITDA margin and 9–10% PAT margin. Those are ambitious and measurable promises. We should reward delivery, not capitalize the guidance as if it were already audited earnings.

The bear case begins where the bull slides often end: cash. In FY26, the audited standalone cash-flow statement reported ₹395.77 crore of operating profit before working-capital changes, but receivables, inventory and other working-capital movements left cash generated from operations at only ₹39.76 crore before tax; tax paid was ₹98.32 crore and operating cash flow became negative ₹58.56 crore. Capital-asset purchases and advances then deepened the outflow. The latest H1 FY27 call put net working-capital days at 154, with inventory around ₹654 crore and receivables around ₹1,053 crore. On 27 October, after those results, TARIL announced another ₹1,250-crore greenfield investment whose facilities have an estimated annual revenue potential of ₹2,000 crore. Backlog growth therefore brings funding and execution risk alongside revenue visibility.

> **GLOBAL PARALLEL • UNITED STATES · INDIA · EUROPE**
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> The U.S. DOE frames transformer availability as a grid-resilience issue; India's PGCIL and state utilities buy to specific corridor and substation requirements; Siemens Energy's European backlog shows that long-cycle grid orders also demand patient execution. Similar demand, different scale and balance-sheet capacity.

At about 30.8 times trailing earnings, TARIL is not priced like a broken manufacturer, but neither does its recent free-cash-flow record support a casual "cheap on growth" label. Our reverse-DCF lens starts from an enterprise-value proxy around ₹10,027 crore, uses ₹2,831 crore of TTM consolidated sales, a ten-year forecast, 12% discount rate and 4% terminal growth. If normalized free-cash-flow margin eventually reaches 5%, the price implies about

28% annual sales growth for a decade; at 7% margin it still implies roughly 23%. These are model outputs, not company guidance. The current price is thus asking for a fast conversion of capacity into profitable billings and then cash. The FY26 order book was ₹5,008 crore; it climbed to ₹7,237 crore by September, but the balance sheet and cash conversion have not yet earned a premium for a decade of uninterrupted compounding.

Our decision is three different sentences. Short term, WAIT FOR SUPPORT: Stage 2 is constructive, but price and volume confirmation are thin; the snapshot's ₹297.44–₹312.95 band and ₹291.39 invalidation level are monitoring references; no new allocation is warranted until price confirmation and cash-conversion progress improve. Medium term, CONDITIONAL ACCUMULATE: add only if the expanded capacity commissions, order delivery accelerates and net working-capital days move toward management's sub-120-day objective. Long term, WATCH AS A POTENTIAL COMPOUNDER: the technical and engineering credentials are promising, yet recurring positive free cash flow is not established. Our three-year scenario lens is ₹220 bear, ₹360 base and ₹480 bull, with a 25% / 50% / 25% probability split; it produces a modeled expected value near ₹360, not a guaranteed target. You and I should demand cash evidence before paying for the full promise.

The global comparison is useful precisely because the businesses are not identical. In the United States, the Department of Energy's transformer-supply-chain work treats large power transformers as strategic, long-lead grid assets; Eaton's electrical businesses show how distribution, service and systems can broaden an equipment maker beyond individual units. In India, CG Power illustrates both turnaround potential and the premium investors can place on a wider electrical portfolio. In Europe, Siemens Energy's record backlog demonstrates demand, but its own annual reporting also makes execution, margin quality and conversion central investor questions. TARIL is smaller and more concentrated than all three. Across this desk, we should borrow their capital-allocation questions, not their scale or valuation multiples. As Mamtora put it on the call, "As of 30th September 2026, our unexecuted order book stood at 7,237 crore, up by 32% year-on-year."

MENTAL MODEL • BACKLOG × CONVERSION × CASH

Think of value as three gates: backlog must become production, production must become accepted revenue, and accepted revenue must become cash after working capital and capex. TARIL has advanced through gate one; the investment case turns on gates two and three.

CHAPTER I

How the Business & Stock Got Here — Past Cycles & Pivots

> *"A factory is a balance sheet that has learned to speak in steel, copper and test reports."*
>
> — RESEARCH DESK MAXIM

If we start at the beginning, you and I should not imagine a giant utility contractor appearing fully formed. TARIL traces its operating roots to 1981, when founder Jitendra Mamtora began with transformer-repair work and then moved into manufacturing 33–66 kV units. The early lesson was close to the customer: repair exposes the failure modes, maintenance constraints and urgency of equipment already on the grid. The company was incorporated as a public limited company in Gujarat in 1994. That distinction matters: the operating story began before the listed-company story, and the first decades were about engineering capability and customer trust rather than rapid scale.

The next transition was from repair and lower-voltage manufacture toward larger systems. Changodar enabled production up to 110 kV and later 245 kV. Between 2001 and 2006, the company records a series reactor supplied to Danieli in the United Kingdom, its first 100 MVA / 220 kV power transformer, and approvals from NTPC and PGCIL. These approvals are not a marketing ornament. For a utility-grade transformer, type tests, manufacturing quality, vendor approval, reference installations and service support reduce a buyer's perceived risk. The supplier does not merely sell copper and steel; it sells confidence that a costly unit can survive fault conditions and remain available for decades.

TARIL listed on the NSE and BSE in 2007. Later milestones included a 315 MVA, 400 kV transformer, the 1,200 kV pilot autotransformer dispatched through Power Grid to the National Test Station at Bina, technical collaborations with ZTR Ukraine and Fuji Electric for higher-voltage work, and 765 kV-class reactors. In FY26 the annual report also recorded a Power Grid repair order for a 397 MVA, 400 kV converter transformer as an entry point toward HVDC. The strategy is visible across time: climb the voltage and complexity ladder, build references, then compete for a deeper pool of tenders. The counterweight is that every rung asks for more design, testing, working capital and reputation at risk.

NARRATOR'S REFLECTION • CAPABILITY ACCUMULATES SLOWLY

You should give credit for qualification only once. A 1,200 kV reference can lower future friction, but it does not erase price competition, customer concentration or the time required to turn a drawing into an accepted installation.

The financial timeline is not a straight line. The consolidated sales series rose from ₹821 crore in FY17 to ₹716 crore in FY18, ₹855 crore in FY19 and ₹701 crore in FY20; the subsequent years included a pandemic-era contraction in some customer projects, then a recovery to ₹1,158 crore in FY22 and ₹1,396 crore in FY23. Sales slipped to ₹1,291 crore in FY24 before reaching ₹2,017 crore in FY25 and ₹2,507 crore in FY26. You can see the cyclical signature even inside the growth story: a transformer order is commissioned around a grid or industrial investment cycle, not bought every week like a consumer staple. FY25's 56% sales increase and margin step-up deserve attention, but they should not be projected as a stable run rate without cash evidence.

The market's stock cycles have been more dramatic than the sales chart. Screener's ten-year price CAGR is around 33%, its five-year price CAGR around 84%, and its one-year change negative about 20%; current TradingView data places the share 15.95% below its 52-week high. The 2021–25 rerating reflected the market's discovery of high-voltage capability, order-book expansion and India's infrastructure theme. The 2025–26 retracement reminds you that forward expectations move faster than a factory's output: a richly valued cyclical name can correct even while reported revenue and orders are growing. We should not assign exact past peaks from memory. The relevant cycle lesson is the sequence—earnings acceleration, multiple expansion, growth scrutiny, then a reset when execution or valuation outruns cash.

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Eaton broadened from components into a wider electrical-system portfolio; CG Power's Indian turnaround shows how utilization and execution can reset expectations; Siemens Energy's European grid business shows that a larger backlog still has to convert into margins and cash. TARIL's path is a smaller, more focused version of the same strategic question.

The capital structure also changed. Equity capital in the consolidated series increased from about ₹13 crore for many years to roughly ₹30 crore by FY25, while the annual report shows ₹486.17 crore of net proceeds from a preferential equity issue / QIP in FY25. This helped fund growth but diluted ownership. Promoter shareholding moved from about 74.9% in earlier years to 64.36% by FY25 and remained there through September 2026. It is not by itself evidence of poor governance; it is a cost investors must count when evaluating per-share compounding. You and I should ask whether each rupee raised produced enough incremental after-tax cash return to exceed the cost of dilution, not simply whether capacity expanded.

Management's story has moved from technical qualification toward execution at scale. The FY26 annual report described the order book as ₹5,008 crore at year-end; the Q2 FY27 presentation later showed ₹7,237 crore at September-end. In September 2026, TARIL formed a UK subsidiary to build customer-support and sales capability, with local assembly only a longer-term possibility. Then the 27 October Chiyada announcement added a ₹1,250 crore greenfield plan for bushings, pressboard/insulation and continuously transposed conductors, expected to begin commercial operations in Q1 FY28. This is a genuine strategic pivot toward deeper integration, but it also turns the story from "more orders" into "can management sequence three projects, fund them, commission them and earn returns without stretching working capital further?"

> **THE CAPABILITY LADDER**
>
> For each new voltage class or product, ask four things: qualification, repeat orders, factory yield and cash terms. Technical milestones matter when they improve the next three—not when they appear only as a one-off trophy.

Across the Atlantic, GE's grid-equipment lineage reminds us that a company can change corporate form while preserving customer relationships and technical capability; Eaton's history shows a broader electrical portfolio can absorb more of the customer's system value. India's CG Power is a closer market analogy for a business whose investor narrative changed when execution, governance and capacity utilization improved—but its diversified industrial systems make it an imperfect comparator. In Europe, Siemens Energy's separation from

Siemens and the rapid growth of its Grid Technologies backlog demonstrate how a strategic reset can meet a strong electrification cycle, while the stock still depends on margin and delivery. TARIL's own history is narrower: one operating segment, concentrated in transformer manufacture, with a growing component ecosystem.

The corporate timeline also explains why today's strategic language emphasizes India-made components. TARIL's facilities and subsidiaries cluster in Gujarat, near an established industrial ecosystem for fabrication and electrical steel. The company has built a presence through plants at Moraiya, Changodar and Odhav, with technical capability spread across large power units, reactors and industrial applications. Its 2026 UK subsidiary is a new commercial foothold, but the Q2 results explicitly said it had not yet contributed capital or begun operations. That is a useful discipline for us: a subsidiary can mark the beginning of an option, while revenue, local staff, assembly and recurring service are later milestones. The listed story is therefore changing from a Gujarat-centered transformer manufacturer toward a broader component and service platform, but the transformation remains in progress.

The decade also teaches us not to confuse accounting profit with a new cycle's permanent margin. Operating margins in the consolidated record moved from 11% in FY17 to 6% in FY22, then 10% in FY24, 16% in FY25 and 15% in FY26. FY25 and FY26 profit growth benefited from a stronger order environment, product mix and utilization, but cash flow did not move in lockstep: FY25 free cash flow was negative ₹78 crore in the screening series and FY26 negative ₹215 crore. The industry can deliver operating leverage when volumes rise through a factory, but that leverage has a mirror image: the cost of underutilized capacity and the financing cost of unfinished work. History tells us the margin turn is meaningful; it does not yet certify a high-quality, cash-rich annuity.

A useful investor maxim for this history is to separate "new capability" from "new earnings power." The 1,200 kV pilot unit, 765 kV reactor references, global furnace installations and dynamic short-circuit tests are evidence that TARIL can design and manufacture demanding equipment. The next questions are recurrence, capacity economics and customer terms: how often does the capability win a tender, what margin remains after input escalation, and how quickly is cash collected? In the United States, GE Vernova's grid-equipment business operates within a larger global power ecosystem; in India, CG Power's revival shows the

market rewards a visible operating turnaround; in Europe, Siemens Energy's grid technologies grew into a much larger strategic business after corporate restructuring. Each analogy says execution can change a company's category, but none says capability alone guarantees per-share returns. The annual report captured the philosophy in a short line: "We built our order book to last, not to impress."

One final historical distinction matters. TARIL's own site dates the company's roots to 1981, its public listing to 2007 and the move into high-voltage work across the following decades. The stock's modern rerating is therefore layered over a much older engineering franchise; investors are paying for both accumulated references and the possibility that a new capacity cycle broadens the earnings base. Those are different assets and should be valued differently.

CHAPTER II

Inside Every Segment — Products, Customers & Real-World Examples

> *"A transformer is not a catalogue item; it is a custom answer to a particular grid's voltage, load and fault conditions."*
>
> — RESEARCH DESK MAXIM

Let us walk the shop floor in our minds. A transformer moves electrical energy between voltage levels through magnetic induction; the buyer specifies what the network can supply, what its load requires, and what failures the unit must withstand. TARIL's portfolio includes power and autotransformers, generator transformers, distribution units, shunt reactors, furnace transformers, rectifier transformers, traction and other specialty designs. The Q2 FY27 presentation describes product capability across 5 kV to 1,200 kV and ratings up to 500 MVA; the company site and annual report describe several product families and service offerings. The important accounting boundary is easy to miss: in its Q2 FY27 results TARIL says it has one operating segment, manufacturing transformers and rectifiers. It does not publish audited revenue or profit shares for each product family. We will not manufacture those shares from marketing material.

The closest current product-mix disclosure is the H1 FY27 order book, not sales. Management's presentation says 83% of the ₹7,237 crore unexecuted order book was power transformers; rounded shares were 9% reactors, 2% distribution, 2% furnace, 1% rectifier and 4% specialty transformers. The rounded categories sum to 101%, so do not treat them as an exact audited reconciliation. The annual report's FY26 customer / application order-book mix was central utilities 13.22%, state utilities 31.39%, EPC players 31.89%, industrial customers 8.09%, exports 8.67%, renewable segment 5.40%, railways 0.56% and third-party export 0.78%. These tables tell us who waits in the sales funnel; neither table is a product-wise income statement or profit split.

NARRATOR'S REFLECTION • DO NOT TURN BACKLOG INTO SEGMENT SALES

You can compare the disclosed order mix with the product catalogue, but the company has not published product-wise revenue or profit. The correct answer is "not separately reported," followed by the closest disclosed order-book proxy—not a guessed margin allocation.

Start with the large power transformer, the economic center of the present backlog. Imagine a transmission utility connecting a new generation source to a high-voltage corridor. Its engineers issue a technical specification—voltage ratio, MVA, impedance, vector group, cooling, losses, short-circuit withstand, accessories and delivery milestones. TARIL's design team maps the specification to a core-and-winding design; copper or conductor, electrical steel, insulation, tank and bushings are assembled and tested. Factory acceptance testing precedes dispatch; installation and energization follow at the utility's site. The actual purchase price depends on rating, material clauses and specification, so we will not invent a universal price per transformer. There are named, real order examples: NPCIL's Kaiga Units 5 and 6 generator-transformer award, the APTRANSCO LOI, and DVC's 500 MVA and 200 MVA units. Those are evidence of customer and product access, not disclosed unit economics.

The reactor and autotransformer example is equally concrete. GETCO placed a large order in October 2026 for 80 MVAR and 125 MVAR shunt reactors and a 500 MVA autotransformer, with delivery scheduled over 24–30 months. A shunt reactor absorbs reactive power and helps control voltage on a lightly loaded or long transmission line; the customer is not buying a generic box but a grid-stability component matched to a specific network. DVC separately awarded 500 MVA and 200 MVA transformers for delivery over 15–28 months. The buyer's acceptance process, transport constraints, site readiness and testing all affect when the manufacturer can book milestones and collect. These large orders reinforce the engineering case while reminding us that the order value is recognized over time, and that a long delivery clock also lengthens the cash-conversion clock.

For furnace transformers, picture a steel producer operating an electric-arc furnace. The furnace's short, intense, variable load needs very high secondary current, low-voltage control, cooling and arc stability. The plant's metallurgical team needs a custom transformer

coordinated with electrodes, furnace controls and the upstream grid. TARIL's presentation cites a 132 MVA, 33 kV furnace-duty transformer installed in Mexico, a 70 MVA / 36 kV unit installed at Yazd, Iran, and a 156 MVA unit at Novoross Steel in Russia; the FY26 annual report records successful delivery and factory testing of a 175 MVA EAF transformer to a customer in Mexico. That is a credible global reference set. The pricing remains project-specific: conductor, steel, thermal design, duty cycle, testing, logistics and warranty terms matter more than a single headline price.

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> A U.S. utility buys a high-voltage unit against a network specification; NPCIL and GETCO provide named Indian procurement examples; a European transmission operator may buy transformers and reactors as part of a wider system package from Siemens Energy. The physical need is universal, while qualification and procurement are local.

For a rectifier transformer, imagine an aluminum, chemical or metal-processing plant that must convert a utility's AC supply into a tightly controlled DC process. The buyer needs a transformer matched to the converter, harmonic profile, current demand, cooling arrangement and operating cycle. TARIL describes rectifier designs with configurable low-voltage terminals, snubber circuits and oil-to-water heat exchange. No named TARIL customer or product-wise revenue share for this family was identified in the reviewed public disclosures, so this is an illustrative end-to-end buying scenario, not a claim about a particular installed order. The same discipline applies to distribution transformers: the company makes units from about 500 kVA to 5 MVA in the disclosed product range, and Changodar is being positioned for distribution, renewable and smaller power-transformer production. Local utilities, solar EPCs and industrial campuses value loss performance, delivery reliability and service access.

Specialty and generator transformers sit where customer qualification can be an entry ticket. The Kaiga order is a generator-transformer application for nuclear units; the company says the rating class is 400 kV-plus and management described repeat potential as additional nuclear projects proceed. Other specialty designs include traction-duty and renewable-application transformers. These products do not become a moat merely because their names

are specialized: the moat has to show up in test approvals, repeat wins, tolerable warranty claims and margins after material-price clauses. The source record conflicts: one slide says seven units, a later slide says three, and the CEO's prepared remarks say three. The materials do not define or reconcile the counts, so we treat the testing as evidence that the capability was exercised but do not choose a single quarterly total.

You and I should keep three ledgers separate: reported accounting segments, customer/application order mix and product-wise order backlog. The first is one segment. The second is visible for FY26 and has strong utility and EPC exposure. The third is latest at H1 FY27 and leans heavily toward power transformers. Export revenue was 8% of Q2 FY27 revenue and exports were about 15% of the order book in the call; FY26 export sales were ₹33.74 crore plus ₹4.46 crore of export service on standalone operations. That is not yet an export-led business. It is an Indian manufacturer with more than 40-country reach, international references and a UK subsidiary that had not started operations by the Q2 results date. Treat the global map as an option, not as a proven second engine.

> **MENTAL MODEL • READ THE THREE MIXES SEPARATELY**
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> Reported operating segment answers "how accounting aggregates the business." Customer mix answers "who places the order." Product backlog answers "what must be built." None alone answers "where profit is earned"; that requires product-level margins the issuer does not disclose.

The American parallel is a utility or industrial buyer comparing large transformer manufacturers such as Prolec GE and Eaton's electrical ecosystem: different products, but the same question of whether a supplier can meet a detailed specification and deliver service for a long-lived asset. India's real examples are more immediate—NPCIL, APTRANSCO, DVC and GETCO all reveal the kind of public and state utility procurement that shapes TARIL's backlog. In Europe, Siemens Energy and other grid manufacturers compete on system integration, high-voltage qualification and lifecycle support. You can see why a small product family may have large strategic importance without pretending we know its standalone profit contribution. The missing data is itself an underwriting constraint.

Power transformers deserve the most attention because they form the bulk of the disclosed backlog. Their real-world journey begins at a generating station or transmission substation: the utility decides voltage levels, MVA loading and redundancy, then issues a specification through an approved-vendor or tender route. For Kaiga Units 5 and 6, TARIL's reported order is for generator transformers in the 400 kV-plus class. The Q2 call said the units connect nuclear generation to the grid and management described the order as repeatable in principle as more nuclear projects proceed. A generator transformer is not identical to a distribution unit; its grid interface, insulation system, test regime and reliability consequences differ. For the investor, the named order validates qualification and customer access. We still need the order value, production milestones and cash terms before estimating its profit contribution.

The distribution and renewable application is more volume-oriented. Picture a solar EPC connecting a large solar block to a utility network. The transformer must match inverter output, site voltage, ambient conditions, protection and grid-code requirements; delivery is coordinated with the EPC's substation and commissioning schedule. TARIL's company presentation says Changodar serves distribution, IDT and renewable applications and includes smaller power transformers up to 220 kV in the broader capacity discussion. A local utility or EPC values low losses, reliable availability, service and successful testing, while the commercial bid still responds to raw-material changes. This example describes the procurement logic, not a named customer order. We should never assign this category a percentage of reported revenue when the company discloses only its share of the order book.

Furnace and rectifier transformers solve different industrial problems and therefore face different buying committees. A steelmaker running an electric-arc furnace wants high current, arc stabilization, reliable cooling and a design that survives repeated thermal shocks; production downtime can cost more than the transformer itself. TARIL's track record includes 132 MVA and 70 MVA furnace units referenced in the Q2 presentation, plus a 175 MVA EAF unit delivered after factory acceptance testing to a customer in Mexico in the FY26 annual report. A rectifier customer—an illustrative metal-processing or chemical plant, not a disclosed TARIL account—needs an AC-to-DC interface with harmonic tolerance, cooling and converter coordination. In both cases, engineering fit and service matter, but

project economics still depend on successful testing, milestone billing and the time it takes to collect.

A reactor order demonstrates how the product portfolio extends beyond voltage transformation. GETCO's October 2026 award includes 80 MVAR and 125 MVAR shunt reactors and a 500 MVA autotransformer. The reactor helps manage reactive power and voltage on the transmission network; the autotransformer changes voltage levels while sharing part of the winding. These systems are specified against a particular network and operating condition, then tested and delivered on a long schedule. The customer and product are disclosed, but the individual order value and expected margin are not. In the product-mix table, reactors account for 9% of H1 FY27 backlog. That is a meaningful niche, not proof that the business earns nine percent of revenue or an equivalent share of profit.

Testing is a product feature, not a back-office ritual. A transformer's short-circuit test evaluates whether the windings and structure withstand severe electromagnetic forces under fault conditions. TARIL's Q2 presentation cites testing against IEC 60076-5 and says seven units completed testing during Q2; the earnings call prepared remarks refer to three completed units. Those statements do not match, and we cannot reconcile their scope from the reviewed materials. We therefore report the discrepancy rather than selecting the more flattering number. The broader point remains: an independent test record can qualify for higher-voltage bids, but the investor should distinguish a successfully tested unit from a repeat order, a running installation and cash received. You and I need the complete chain before turning engineering prestige into a higher terminal multiple. Mamtora described the new orders as showing "the breadth of our capabilities across large power transformers, auto-transformers, and shunt reactors."

The mix you should carry in your notebook

The H1 FY27 order-book table lists power transformers at 83%, reactors at 9%, distribution transformers at 2%, furnace transformers at 2%, rectifier transformers at 1% and specialty transformers at 4%; the rounded shares total 101%. The FY26 order-book customer/application table lists central utilities 13.22%, state utilities 31.39%, EPC players 31.89%, industrial customers 8.09%, exports 8.67%, renewables 5.40%, railways 0.56% and third-

party exports 0.78%. These are backlog classifications, not recognized revenue or profit shares. TARIL's accounts report one operating segment, so the exact segment revenue and segment profit splits are not disclosed.

CHAPTER III

How It Is Sold & Delivered — Distribution & Unit Economics

> *"In project manufacturing, the invoice can be earned long before the invoice is collected."*
>
> — RESEARCH DESK MAXIM

You and I should start with how a transformer reaches a customer, because "distribution" here does not mean a supermarket shelf. TARIL is a business-to-business engineering manufacturer. The buyer may be a central or state utility, an EPC contractor, a generator, a renewable project developer or an industrial plant. Sales generally begin with a tender, vendor qualification or technical inquiry; engineers reconcile the specification, voltage class, MVA, losses, performance standards and delivery window; commercial teams price the unit, negotiate escalation clauses and agree on milestones. The FY26 order book was concentrated in state utilities and EPC players, while the September call described a roughly even government/private inquiry pipeline and 80% domestic / 20% export bidding. There is no public disclosure of dealer or distributor share, so we should not describe a dealer-led network that the evidence does not show.

The route from inquiry to cash has several gates. First, the buyer qualifies a design and manufacturer; then the order is awarded and material is reserved. Core steel, copper or conductor, insulation, bushings, tank fabrication and accessories must arrive in sequence. The core and windings are built, dried, assembled and tested; a factory acceptance test may be witnessed before packing and transport. Large units need route surveys, special trailers and a prepared site. After installation, commissioning checks and customer sign-off can release final milestone payments. The company notes that price-variation clauses pass through raw-material movements on billed quantities, while retention amounts can be 5–10% of orders. This protects some input margin but does not remove timing risk: retention, testing and project acceptance can keep receivables on the balance sheet after production costs have already been paid.

The customer path varies by application. A state utility may buy through a competitive tender for a substation expansion; an EPC contractor may bundle transformers with a wider

transmission package; an industrial steel producer may specify an EAF transformer directly; a renewable developer may buy generator or interconnection equipment through its EPC partner. TARIL's direct engineering conversation happens before the unit is built, not after it sits in inventory. The UK subsidiary formed in September 2026 was meant first to strengthen local support and sales; the Q2 results said it had not yet contributed capital or commenced operations. That is a sensible go-to-market option, but not yet a European distribution engine.

Supply-chain control is becoming more strategic. The Q2 presentation listed existing in-house manufacturing of tanks, radiators, insulation units, core cutting and slitting, conductors and selected bushings. It also showed CRGO processing as operational and planned capacity for CTC, pressboard/insulation, RIP/OIP bushings and fabrication. On 27 October, the company announced three greenfield Chiyada plants at ₹1,250 crore, with commercial operations targeted for Q1 FY28 and annual revenue potential of roughly ₹2,000 crore once fully operational. Backward integration can improve availability, quality control and cost capture, yet it converts supplier dependence into plant-utilization and fixed-cost risk. We should ask whether captive consumption protects transformer deliveries first, whether external sales are truly incremental, and whether the subsidiary can earn returns after depreciation and working capital.

> **NARRATOR'S REFLECTION • PROFIT IS NOT THE BANK STATEMENT**
>
> A ₹100 sale can carry a healthy accounting margin and still require more than ₹100 of cumulative cash funding across work-in-progress, retention and capex timing. Ask where the money is trapped before asking how fast revenue can grow.

Now let us do the requested ₹100 waterfall from audited FY26 standalone cash flows. For every ₹100 of revenue, operating profit before working-capital changes was about ₹16.52. Working-capital and related operating adjustments absorbed about ₹14.86: the receivables increase alone was ₹13.35 per ₹100 of sales, inventory absorbed ₹6.74, lower trade payables absorbed ₹4.10, partly offset by provisions and other assets. Cash generated from operations before tax was therefore only about ₹1.66. Net tax paid consumed about ₹4.10, leaving operating cash flow at negative ₹2.44 per ₹100. Purchases of property, plant, equipment and

capital advances consumed a further approximately ₹5.30, leaving an illustrative audited-period free-cash-flow bridge near negative ₹7.74 per ₹100. This is not a normalized forecast: it is the FY26 realized cash conversion translated into a common unit.

Notice how different this is from an earnings-only story. The FY26 income statement still reported profit; the cash-flow statement showed ₹319.72 crore of receivables growth and ₹161.35 crore of inventory growth, while trade payables fell by ₹98.27 crore. A high backlog can worsen this before it improves: copper, CRGO, insulation and work-in-progress are funded while the customer's test, dispatch and payment milestones remain ahead. Management's line on the Q2 call was direct: "Working capital remains a key area of focus." The same call put receivables near ₹1,053 crore and net working-capital days at 154. A target of 110–120 days would release real capital, but until the audited cash-flow statement shows it, you and I should not book that release into valuation.

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>
> U.S. DOE procurement studies focus on long lead times and transformer resilience; Indian utilities and EPCs use qualification, tender and milestone billing; European grid planners are being asked to coordinate equipment supply chains earlier. In each market, payment architecture is part of the product economics.

This is also why supplier diversification and price clauses matter. TARIL says most orders have price-variation clauses and that recent material price movements do not affect margin "in a big way," but clauses can lag cash outlays or leave some exposure to timing and foreign exchange. A buyer that holds retention money at 5–10% is effectively asking the supplier to finance a portion of the project until later acceptance. Large transformers may be delivered and installed on schedule while still consuming cash through receivables, inventory and guarantees. The bull case needs better planning and collection; the bear case needs only a few delayed projects, slower acceptance or a reversal in advance-payment terms.

Compare the geography. In the United States, the Department of Energy's grid-supply-chain report describes large transformers as critical long-lead equipment; public procurement visibility and domestic sourcing can improve security but require capacity investment. India's PGCIL and state utilities create the tender and approval path that TARIL knows best.

Europe's Grids Action Plan explicitly includes supply-chain strengthening and improved visibility into procurement plans. Across all three, the winning supplier is not simply the one with the cheapest copper; it is the one whose financing, engineering and delivery system can withstand the gap between material purchase and final cash receipt.

> **THE SEVEN-STEP CASH CLOCK**
>
> Tender → award → material purchase → factory build → acceptance test → dispatch/ commissioning → collection. Revenue may be recognized before the last step; free cash flow waits for the last step and must still fund growth capex.

The supplier side of the process begins before a factory slot is booked. Transformer design depends on electrical steel, copper or conductor, insulation, bushings, tank steel, cooling equipment and accessories. Some inputs are commodity-linked; other components have qualified vendors and longer lead times. A price-variation clause can pass some changes to the customer as bills are raised, but the manufacturer still carries the working-capital timing between buying inputs and collecting the adjusted invoice. On the Q2 call, management said export was about 8% of revenue and around 15% of backlog, and that most orders included a price-variation mechanism. That helps protect gross margin against certain cost moves; it does not eliminate foreign-exchange, yield, inventory obsolescence, retention or collection risk. The exact contract terms differ by customer, and the issuer does not publish a single standard payment schedule.

Distribution after the factory is a coordinated project-delivery function. A large unit can require a route survey, custom packing, special transport, crane capacity and an installation window during a planned outage. A domestic order may move from TARIL directly to a utility or through an EPC prime contractor; an export order adds destination standards, port handling, documentation, local service and sometimes a regional assembly partner. For Europe, the new UK subsidiary is intended to begin with customer support and sales, with assembly only a possible later stage. For India, named customers such as PGCIL, APTRANSCO, DVC and GETCO anchor the direct procurement ecosystem. This is not a consumer channel business. The moat is the ability to make an unusual unit, prove it, ship it safely and support it after energization.

After-sale service is the final link in distribution. Diagnostics, oil analysis, repair, refurbishment, spares and training can support a customer after energization and help create repeat relationships. TARIL lists these services publicly, but does not disclose service revenue share or lifetime service margins. We count service breadth as a customer-retention option, not as a recurring-revenue multiple until the accounts show it.

The cash waterfall in rupees, not just percentages

In FY26 standalone terms, revenue was ₹2,395.49 crore and operating profit before working-capital changes was ₹395.77 crore. Working-capital and related operating adjustments absorbed about ₹356 crore, leaving ₹39.76 crore cash generated before tax. Net tax paid was ₹98.32 crore, so operating cash flow was negative ₹58.56 crore. Purchases of property, plant and equipment, capital work-in-progress and capital advances were ₹127.05 crore; after ₹0.14 crore of asset-sale proceeds, the net cash investment was about ₹126.91 crore. The resulting cash after operating flows and this investment was about negative ₹185.47 crore, or negative ₹7.74 per ₹100 of revenue. This is the FY26 realization, not a normalized forecast.

CHAPTER IV

The Battlefield — Rivals, Switching Costs & Moat Reality

> *"A qualification is a door key; it is not the room."*
>
> — RESEARCH DESK MAXIM

A transformer market is not one contest. At the lower-voltage end, standardized distribution equipment can attract many domestic producers and price-based bidding. In medium and high voltage, design qualification, factory testing, reliability history and delivery capacity narrow the field. At ultra-high voltage and specialty ratings, the equipment is expensive, customized and hard to substitute quickly, but a single winning reference does not guarantee every future award. TARIL's portfolio, factory footprint and historic installations create credibility; the firm says it has more than 18,000 transformer installations and serves more than 40 countries. Those figures describe reach, not a protected market share. The moat is therefore best called accumulated qualification and execution reputation, reinforced by engineering breadth—not an unassailable patent or consumer brand.

The switching cost is strongest after a unit is specified, validated and integrated into a network. A utility does not casually replace a high-voltage transformer that has passed factory acceptance and site commissioning. But before award, qualified suppliers can compete aggressively, and tenders may select on price, delivery window, losses, service record and financial capacity. TARIL's annual report cites a 1,200 kV autotransformer and 765 kV reactors; its Q2 presentation highlights dynamic short-circuit tests. These are meaningful credentials because fault withstand and testing are safety-critical. Yet competitors such as GE Vernova T&D India, CG Power, Voltamp, Hitachi Energy India, Siemens Energy and specialist makers can also serve parts of the market. We should not equate "complex product" with "pricing power" without product-level margins and repeat-win evidence.

The company's own latest product mix concentrates 83% of the H1 FY27 backlog in power transformers, with another 9% in reactors. Concentration can be an advantage if it reflects

capability in large, technically demanding projects; it can be a risk if one product cycle, one tender calendar or a limited group of customers slows. FY26 customer/order-book categories show central and state utilities plus EPC players at roughly three quarters of the book. This is not a single-customer concentration, but it is a procurement ecosystem with lumpy awards, public budgets and milestone approvals. The economic customer may be a utility, yet the contract may be routed through an EPC; receivables can sit with the prime contractor or employer depending on the structure. That distinction matters for payment risk.

> **NARRATOR'S REFLECTION • TECHNICAL BARRIERS ARE NOT PRICING POWER**
>
> You can respect the cost and qualification burden without assuming the supplier sets the price. In a tender market, durable margins require both limited capacity and a customer value proposition that survives competitive bids.

Management's competitive read on the October call was that it did not see a large price war because many competitors also had strong order books. We should preserve that as management's observation, not treat it as independent proof. The Q2 transcript also captures analyst questions about lower capacity utilization at Changodar, procurement timing, working capital and the bridge between order book and revenue. More telling than a confident quote is the realized spread between order intake and billed execution, the mix of customer advances and retention, and whether operating margins hold after material variation. Competitors need not destroy margins to harm the thesis; they need only keep bid prices firm enough that TARIL's extra capacity earns a low return.

Backward integration may deepen the moat if it solves genuine bottlenecks. CRGO processing is already reported as operational. CTC, pressboard and insulation, bushings and fabrication can reduce supplier lead times and improve control; the company's October greenfield announcement adds a separate ₹1,250 crore complex for three critical components. The opportunity is vertical control from transformer core and windings to a few high-value inputs. The danger is vertical overreach: these plants require utilization, technical yield and reliable third-party demand. If captive usage is lower than expected or the plants start late, depreciation arrives before the margin benefit. A 200–300-basis-point

benefit discussed on the Q2 call is a management expectation for the backward-integration program, not a delivered fact.

Consider the alternatives across the peer set. Voltamp is a more focused transformer manufacturer, and its FY26 presentation describes a portfolio up to 120 MVA. Shilchar has a narrower voltage profile and meaningful transformer niches. CG Power has power and industrial systems, while GE Vernova T&D India participates in broader grid equipment and system packages. Their scale, capital intensity, product mix and valuation multiples are not directly interchangeable. A customer may see them as rivals in one tender and complements in another. TARIL's practical edge is its ability to bid from distribution through high voltage, paired with export references and local manufacturing; its practical vulnerability is the need to match much larger rivals in funding, service footprint and execution certainty.

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>
> U.S. resilience policy emphasizes qualified supply; Indian utilities and EPCs compare approved suppliers tender by tender; Siemens Energy's European Grid Technologies backlog shows scale advantages but still makes margin conversion visible. TARIL has credible credentials, but not the same scale.

For your external learning hub, begin with the company's product pages and manufacturing overview, then compare the FY26 annual report and the Q2 FY27 investor deck with the verbatim earnings-call transcript. For independent technical context, the U.S. DOE's large-power-transformer resilience report explains why long lead times and domestic sourcing matter; the European Commission's grid action plan discusses supply-chain visibility and investment. Use these materials to learn the engineering and procurement chain, not to infer that global market growth automatically accrues to TARIL. The best diligence questions are concrete: Which approved ratings are generating repeat orders? What percentage of backlog needs customer testing before billing? How many days does cash remain in receivables? Are new plants replacing imported components or merely adding fixed cost?

The United States shows how resilience and procurement can create structural demand, but it also reveals the challenge of imported equipment and a qualified supplier base. In India, CG Power's broader portfolio and Voltamp's transformer focus demonstrate that

competition is differentiated, not absent. In Europe, Siemens Energy's record Grid Technologies backlog illustrates the value of technical credentials and integrated project capability, while its reported segment margins remind us that order growth alone is insufficient. TARIL's moat should be tested against those same standards: can it earn attractive returns after working capital and capex, retain customers after commissioning, and repeat high-voltage orders without a subsidy from the balance sheet?

> **MENTAL MODEL • MOAT = QUALIFICATION × REPETITION × CASH RETURN**
>
> A moat is strongest when a technical qualification produces repeat orders, those orders protect margin, and cash returns exceed the capital needed to serve them. If one term is missing, the advantage is real but not yet investable at any price.

Scale changes the competitive equation. A national or global supplier may have more test capacity, a wider service network and the balance sheet to finance long receivable cycles. A smaller specialist can still win when its design, price or delivery window fits the tender. TARIL's three factories and subsidiary ecosystem are an advantage only if they raise effective throughput rather than creating idle assets. Its order book's utility and EPC concentration gives scale and references, but these buyers are commercially sophisticated. Product qualification reduces the supplier pool; tender structure keeps the supplier honest on price. We should therefore look for repeat orders from the same customer, on-time delivery, warranty performance and margin stability through commodity changes—not rely only on customer logos or a high-voltage product catalogue.

A sensible learning sequence is to compare four types of evidence. The company's product pages explain what it says it can build; the audited annual report explains historical financial and order-book data; the investor presentation shows management's capacity and target narrative; and the call transcript reveals analyst concerns about inventory, cash, utilization and competition. The U.S. DOE report provides a supply-chain and resilience context, while the EU Grids Action Plan highlights procurement visibility and supplier constraints. A walkthrough or factory video can teach process flow but cannot establish utilization, yield or returns. In your diligence notebook, label each item as engineering description, audited outcome, management target or independent context. That simple taxonomy prevents a

marketing page from silently turning into a financial forecast. On pricing, Mamtora said, “I don’t see there is a huge price war or lowering of margins by competitors. Everybody has enough orders in hand.” We treat that as management’s view, then test it against future realized margins.

CHAPTER V

Management on Trial — Leading KPIs & Walking the Talk

> *"Guidance is a contract with time: the numbers are due later, but the monitoring begins today."*
>
> — RESEARCH DESK MAXIM

When management says it has a large order book, you and I need the dashboard that tells us whether the book is becoming revenue. The first leading indicator is order intake net of cancellations, compared with revenue billed; if intake repeatedly exceeds execution, visibility grows but so does deferred work. TARIL reported ₹1,169 crore of Q2 FY27 order inflow and a ₹7,237 crore unexecuted book at 30 September, executable over 18–24 months. The second indicator is MVA production and throughput: around 9,500 MVA was produced in Q2 according to the call. The third is capacity utilization, because fixed factory cost needs output. The fourth is high-voltage / specialty mix, where qualifications may support value but must be confirmed through margin data. The fifth is working-capital days, and the sixth is commissioning of expansion and integration projects.

The company's Q2 presentation showed three plant utilization figures of 100%, 33% and 100%, while its spoken call emphasized Changodar's expansion and a temporary utilization drag. The same presentation gave the installed capacity of the three factories and showed expanded equipment coming on line, but the extraction's column alignment is not reliable enough to assign every utilization figure to a named plant here. The safe conclusion is narrower: utilization was uneven, management cited Changodar as the bottleneck, and higher production depends on stabilizing new capacity. That is exactly why utilization should be tracked by site and product, not only as a corporate average. A rising order book cannot make an unfinished bay, a delayed bushing or an unpassed test disappear.

Now compare promise with delivery. In FY26, consolidated sales reached ₹2,507 crore and operating profit ₹383 crore in the ten-year financial series; order book at year-end was ₹5,008 crore. By H1 FY27, consolidated revenue grew 33% to ₹1,311.78 crore and EBITDA rose 42% to ₹220.28 crore; the order book was 32% higher year on year at ₹7,237 crore.

Those are delivered first-half outcomes, not a full-year verdict. Management retained an FY27 outlook of "25% revenue growth, an EBITDA margin of 16%, and a PAT margin of 9% to 10%." The quote is measurable, but the margin perimeter needs care: H1 EBITDA margin was 14.6% standalone and 16.8% consolidated. You and I should not compare guidance with the wrong column.

> **NARRATOR'S REFLECTION • SCORE THE PROMISE, NOT THE ADJECTIVES**
>
> "Confident," "healthy" and "well positioned" are not KPIs. Revenue, margin, utilization, days, commissioning dates and cash flow are. Put every management target beside its deadline and latest observable result.

Working capital is the most important walk-the-talk test. Management said on the October 13 call that it was trying to reach approximately 110–120 days and that lower working capital should support positive free cash flow. At September-end, management reported 154 net working-capital days, with 93 inventory days, 117 receivable days and 56 payable days. The receivables balance was still around ₹1,053 crore, and inventories around ₹654 crore. The reported goal has not yet been met. It may be a reasonable target, but for us it becomes evidence only when receivables are collected, inventory normalizes without disrupting delivery, payables remain sustainable and operating cash flow turns positive. The order book itself is not a substitute.

The capacity story has also changed in stages. Changodar's expansion was described as near completion, with commercial production expected around Diwali and a roughly ₹150 crore capex discussion on the call. Backward integration was presented with phased targets and expected margin improvement. On 27 October, the company announced a ₹1,250 crore Chiyada complex for bushings, pressboard/insulation and CTC, now targeted to begin commercial operations in Q1 FY28, with annual revenue potential around ₹2,000 crore. That later date should supersede the earlier short-dated expectation for those new greenfield components. We have not found evidence that the new facilities were already commercially operational as of 6 November. The walk-the-talk ledger therefore marks order growth as delivered, utilization improvement as underway, cash conversion as unproven and the new greenfield timeline as future.

A practical management scorecard would separate five leading indicators from three outcomes. Leading: order intake / revenue, production MVA, site utilization, high-voltage share of backlog and project milestones. Outcomes: EBITDA margin on a clearly stated standalone or consolidated basis, net working-capital days and operating cash flow after tax. A sixth cross-check is claims history—warranty costs and test failures—but the issuer does not provide a sufficiently consistent public series for that metric. When an indicator is not disclosed, we say so. This discipline protects us from building a "walk-the-talk" chart out of isolated anecdotes. We want quarterly disclosures that reconcile order intake, booked revenue, cash collection and capex on the same reporting perimeter.

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Eaton's segment reporting, CG Power's distinct power and industrial systems, and Siemens Energy's Grid Technologies margins offer examples of how operating evidence can be split. TARIL reports one operating segment, so customer and product disclosure becomes more important, not less.

Across geographies, the same scorecard separates factory excitement from investor returns. In the United States, Eaton reports operating segments and order drivers that let investors see a broader electrical portfolio; in India, CG Power's power and industrial systems show why utilization must be split by business; in Europe, Siemens Energy reports Grid Technologies separately and ties its large backlog to segment margin. TARIL's single reported operating segment gives less visibility than those comparators. Your and my model should therefore demand additional disclosure as the company grows, particularly around project stage, product margin and cash conversion. The company can create value without disclosing every plant KPI, but the market should discount what cannot be independently measured.

MENTAL MODEL • ORDER → OUTPUT → MARGIN → CASH

Treat these as a linked KPI chain. A rising order book without MVA production is delay; production without margin is poor pricing; margin without collections is working-capital absorption; cash without returns on new capex is not compounding.

For a quarterly walk-the-talk review, you and I can keep a compact scorecard. Record opening order book, new orders, cancellations, revenue billed, MVA production and closing backlog; then calculate backlog conversion only from the reported perimeter. Record plant utilization by site, product mix, EBITDA margin with its exact definition, cash from operations, capex, inventory, receivables, payables and net working-capital days. Next to each management target, write the date it was made and the latest actual. The FY27 growth guide was reaffirmed after H1; H1 consolidated growth of 33% revenue and 42% EBITDA supports the case, while the 154-day working-capital cycle is still above the stated target. This scorecard tells us what improved and what merely remains promised.

The capex timetable deserves the same audit treatment. The Q2 presentation described phased commissioning of component plants during FY27 and Q1 FY28; the 27 October release states the three Chiyada greenfield facilities are expected to begin commercial operations in Q1 FY28. That later disclosure is the current schedule for those facilities. It is not yet evidence of commissioning, qualified output or third-party sales. Management's expected ₹2,000 crore annual revenue potential and margin benefit should be placed in a "future / unverified" column until capacity, utilization, captive-consumption share and returns are disclosed. In the United States, Eaton's and in Europe Siemens Energy's investor reporting separate segment outcomes and capital projects; for TARIL, more granular public milestones would help investors make the same comparison. Mamtora's words were direct: "Our target is to reach a growth of 25% and beyond." The proper score is the full-year result, not the confidence of the quote.

Order quality can be measured by lead time as well as amount. A booked order scheduled for 18–24 months may be healthier than a larger book that sits beyond capacity; TARIL said it tries to keep its unexecuted book within roughly 24–28 months. Track new bookings by promised delivery window, then reconcile dispatches and customer acceptance against that window. A stable backlog age is more informative than a headline order-growth percentage.

CHAPTER VI

Following the Cash — 10-Year Financials & Earnings Quality

> *"The income statement is a story; the cash-flow statement is the receipt."*
>
> — RESEARCH DESK MAXIM

Let us sit with the ten-year record rather than letting the latest quarter do all the talking.

The consolidated series from FY17 through FY26 shows sales moving from ₹821 crore to ₹2,507 crore, but not in a straight line. FY18 and FY20 contracted; FY24 dipped; FY25 and FY26 rebounded sharply. Operating profit rose from ₹87 crore in FY17 to ₹383 crore in FY26, with margins moving between 6% and 16% across the period. PAT rose from ₹24 crore to ₹272 crore, but the low base makes the five-year profit CAGR unusually high. You should read that CAGR beside the full table: several lean years, followed by a major mix, utilization and cycle recovery. The numbers are consolidated Screener history and should be reconciled with audited filings for any transaction-level use.

The most important forensic question is what happened after profit. Consolidated cash from operating activities was positive ₹157 crore in FY25, then negative ₹105 crore in FY26. The associated free-cash-flow series fell from negative ₹78 crore to negative ₹215 crore. The audited FY26 standalone statement gives a complementary, not identical, view: operating cash flow was negative ₹58.56 crore, after cash generated before tax of ₹39.76 crore. The difference is the group perimeter and consolidation, not a contradiction to be averaged away. For a like-for-like unit-economics bridge, we use the audited standalone statement; for long-run sales and cash patterns, we show the consolidated series.

The annual report shows why the cash gap opened. Operating profit before working-capital changes was ₹395.77 crore. Trade receivables consumed ₹319.72 crore, inventory consumed ₹161.35 crore and trade payables declined by ₹98.27 crore. Provisions and other asset movements offset some of that drain, leaving ₹39.76 crore of cash generated before taxes. Net tax paid was ₹98.32 crore. This is not an accounting trick; it is the operating reality of a business buying materials and progressing custom builds ahead of customer acceptance. But it means earnings quality depends on project discipline and collections. The cash-flow

statement turns the glossy backlog into a precise question: how many days does each rupee spend waiting for the next milestone?

> **NARRATOR'S REFLECTION • A PROFIT CAN BE EARNED AND STILL BE UNFUNDED**
>
> If receivables and inventory absorb more cash than the business generates before working capital, growth is funded by suppliers, banks or shareholders. The source of financing changes the risk; it does not change the underlying cash requirement.

The balance sheet grew alongside the business. Consolidated borrowings were about ₹457 crore at March 2026 and ₹581 crore at September 2026 in the ten-year data series. On the September standalone balance sheet, long-term borrowings were ₹125.48 crore and current borrowings ₹419.10 crore; cash and bank balances were ₹76.65 crore, with additional investments disclosed separately. Consolidated cash and bank balances were ₹80.51 crore in the investor presentation. Net debt remains manageable in relation to the current earnings base, but absolute working-capital funding is the more immediate risk. The company also had ₹274.60 crore of consolidated capital work-in-progress at H1 FY27, showing that committed growth capital had not yet fully become productive fixed assets.

Returns improved as earnings recovered. Consolidated ROCE in the historical series rose from 15% in FY17 to 23% in FY26, after a trough around 8–10% during FY19–FY22 and 28% in FY25. That improvement is encouraging, but the FY25/FY26 earnings surge and expanded asset base make a single point-in-time ratio a poor proxy for through-cycle returns. An illustrative 12% hurdle rate in our reverse DCF would sit below reported FY26 ROCE, but it is a modeling assumption, not TARIL's disclosed weighted-average cost of capital. We do not have a verified market-derived WACC in the reviewed source set, so we will not claim a precise ROIC-minus-WACC spread. The honest conclusion is: returns improved, but the cash record has not yet proven that the recent level is durable.

Share count matters too. Equity capital was roughly ₹13 crore for much of the earlier series, then moved to about ₹30 crore by FY25. The FY26 annual report's cash-flow statement records ₹486.17 crore of net proceeds from a preferential equity issue / QIP in FY25. That capital helped support expansion and working capital, but an investor measures value per share, not just growth in company-wide sales. The promoter holding trend fell from roughly

74.9% to 64.36% by FY25 and stayed near that level through September 2026. The change is visible and should be included in per-share analysis; it is not, on its own, a judgment about governance. Future capital needs—including the Chiyada investment—make funding discipline a central watch item.

> **GLOBAL PARALLEL • UNITED STATES · INDIA · EUROPE**
>
> Eaton reports multiple electrical segments; CG Power separates power and industrial systems; Siemens Energy reports Grid Technologies economics. TARIL reports one operating segment, so the analyst must use cash-flow, working-capital and order-mix disclosures as imperfect but essential lenses.

A better cash story would have recognizable stages. First, working-capital days fall from 154 toward the stated 110–120 range without cancellations, delayed shipments or supplier stress. Second, CFO becomes positive after tax, not merely before tax. Third, free cash flow remains positive after maintenance and growth capex, or at least the capital program earns a visible return. Fourth, leverage stays controlled while the greenfield subsidiary ramps. Management has said it expects working-capital improvement and positive cash flow; the reported September data still showed the need. You and I should wait for two or three quarters of evidence rather than annualize one quarter's EBITDA. The industry's order cycle makes quarter-to-quarter noise inevitable, but a sustained receivables build is not noise.

Across the United States, Eaton's 2025 annual report gives investors segment-level operating profit and cash-flow context across electrical activities; in India, CG Power's separate Power Systems and Industrial Systems show how aggregate margins can mask different cycles; Siemens Energy's European Grid Technologies reporting links a large backlog to specific segment economics. TARIL's single operating segment leaves product-level margins invisible. That does not make the accounts unusable—it tells you where to place a wider margin of safety. Track consolidated and standalone numbers separately, compare receivables and inventory with revenue, and treat FY26's negative cash flow as a genuine signal until a later audited period proves reversal.

MENTAL MODEL • PAT → CFO → FCF → ROIC

Follow the sequence. PAT tests accounting earnings; CFO tests collections and working capital; FCF tests reinvestment needs; ROIC tests whether those reinvestments create value. A break anywhere in the chain limits the multiple.

Working-capital ratios show that the cycle can swing widely. In the consolidated history, debtor days ranged from 85 in FY25 to 256 in FY18; inventory days were 118 in FY25 and 133 in FY26; days payable fell to 62 in FY26 from 109 in FY25; and the cash-conversion cycle rose from 94 days to 200. That one-year change is more revealing than a single "good" FY25 reading. The 2026 annual report's standalone cash-flow bridge explains the direction: receivables and inventory increased while supplier credit contracted. H1 FY27 brought receivables down somewhat on the standalone balance sheet versus March, but inventory and capital work-in-progress rose. The next report should confirm whether collections are structural or timing-related.

The margin bridge contains two different stories. Revenue scaled sharply from FY24 to FY26 and operating margin stepped up to 16% in FY25 and 15% in FY26 in the consolidated series. Better utilization and higher-voltage mix can support this; so can price-variation clauses. But other income, subsidiary contribution, product mix and nonrecurring provisions affect reported bottom lines. H1 FY27 consolidated EBITDA margin was 16.8%, while standalone margin was 14.6%. The Q2 deck defines EBITDA margin as including other operating income, so comparisons with a peer that excludes it can be misleading. A margin premium is deserved only if it survives a full-year mix and translates into operating cash, not if it is a numerator assembled on a different basis.

Finally, test capital returns against the investment program. FY26 standalone capex and capital advances were about ₹127 crore, while the October greenfield plan is ₹1,250 crore and the business continues to fund working capital. The annual report recorded a ₹486.17 crore QIP / preferential-equity cash inflow in FY25, and the Q2 presentation noted about ₹121 crore of unused 2024 QIP proceeds earmarked for integration. The rest is expected to come from leasing, internal accruals and debt if needed. We can compare FY26 ROCE of 23% with the 12% illustrative discount rate in our valuation model, but that is not a

computed company WACC and the return may be inflated by peak-cycle profit. Incremental return on Chiyada assets must be measured after commissioning, depreciation and working capital. The CFO said, “We are targeting of end of this financial year to start reducing our working capital cycle days, and that will give us positive cash flows.” The September figure shows this remained a target, not yet an accomplished result.

At H1 FY27, consolidated cash and bank balances were about ₹80.51 crore against consolidated borrowings of roughly ₹580.54 crore, while capital work-in-progress stood around ₹274.60 crore. That is not a liquidity crisis, but it leaves less room for simultaneous working-capital absorption and capex than a net-cash balance sheet would. Financing flexibility and operating cash generation should be watched together.

The ten-year series, read aloud

Here is the full consolidated run that sits behind the table. FY17: sales ₹821 crore, operating profit ₹87 crore, margin 11%, PAT ₹24 crore, CFO ₹66 crore, FCF ₹55 crore, cash-conversion cycle 138 days and ROCE 15%. FY18: ₹716, ₹65, 9%, ₹6, negative ₹102, negative ₹132, 235 days and 9%. FY19: ₹855, ₹61, 7%, ₹5, ₹179, ₹163, 156 days and 8%. FY20: ₹701, ₹51, 7%, ₹1, ₹16, ₹7, 210 days and 8%. FY21: ₹742, ₹69, 9%, ₹8, ₹96, ₹91, 173 days and 9%. FY22: ₹1,158, ₹74, 6%, ₹14, ₹2, negative ₹6, 139 days and 10%. FY23: ₹1,396, ₹121, 9%, ₹42, ₹28, ₹19, 141 days and 15%. FY24: ₹1,291, ₹134, 10%, ₹47, ₹29, ₹14, 188 days and 15%. FY25: ₹2,017, ₹327, 16%, ₹216, ₹157, negative ₹78, 94 days and 28%. FY26: ₹2,507, ₹383, 15%, ₹272, negative ₹105, negative ₹215, 200 days and 23%. Values are rupees crore except percentages and days; CFO and free cash flow are not smooth, even as revenue and reported earnings rise.

The September 2026 balance-sheet table adds a different perimeter: consolidated borrowings were about ₹580.54 crore and cash plus bank balances about ₹80.51 crore; standalone borrowings were about ₹544.58 crore and cash plus bank balances about ₹76.65 crore. Standalone current inventory was ₹651.24 crore, while total trade receivables including non-current balances were around ₹1,053 crore. The company also reported ₹274.60 crore of consolidated capital work-in-progress. Do not combine these standalone

and consolidated figures into one leverage ratio; they are useful as separate checkpoints, not one synthetic balance sheet.

CHAPTER VII

Why the Stock Trades Here — Market Expectations vs. Peers

> *"A multiple is not a verdict; it is the price of a set of expectations."*
>
> — RESEARCH DESK MAXIM

At the 6 November 2026 close, TARIL was ₹312.65, with a current trailing P/E of 30.83 and a market capitalization of about ₹9,527 crore in the deterministic snapshot. The TTM consolidated earnings series is around ₹313 crore and TTM revenue about ₹2,831 crore. These are present-tense figures, not a prediction. The market is paying about thirty-one rupees for each rupee of trailing earnings, while the last annual reporting period still showed negative consolidated free cash flow. That gap says investors are valuing the expected growth and utilization of new capacity more than the recent cash yield. The question for you is whether the gap closes through higher earnings and cash, or through a lower share price.

On relative valuation, TARIL sits near the lower end of a highly dispersed Indian peer set on trailing P/E. The latest snapshots show Voltamp around 31.57 times, Shilchar Technologies around 32.94 times, GE Vernova T&D India around 72.25 times, and CG Power around 89.69 times, against TARIL at 30.83. Operating margins in the same snapshots were about 15.4%, 15.3%, 21.9%, 25.9% and 11.6% respectively. This is a screen, not an apples-to-apples intrinsic-value test: CG and GE T&D have broader portfolios and very different growth, return and backlog profiles, while Voltamp and Shilchar differ in capacity, product rating and export mix. The peer matrix is useful for context, not for claiming TARIL deserves a peer's multiple.

You may ask for a five- or ten-year historical P/E band. The current company snapshot and free Screener page expose the present trailing multiple and historical earnings, but not a traceable, date-stamped historical P/E series in the material used for this run. I will not reconstruct a polished valuation band from remembered prices or mix split-adjusted market data with changed share count and trailing earnings. What is available is a clear earnings-cycle context: consolidated EPS was ₹1.54 in FY23, ₹1.56 in FY24, ₹7.14 in FY25 and ₹8.81 in FY26, while price CAGR over ten years was reported near 33% and the one-year

price move was negative about 20%. The stock has experienced a large rerating and a meaningful reset, but we do not present unsupported historical P/E quartiles as facts.

The reverse DCF makes the market's burden of proof more explicit. We use an enterprise-value proxy of about ₹10,027 crore—market capitalization plus September consolidated borrowings less disclosed cash and bank balances, excluding other investments—against TTM revenue of ₹2,831 crore. In a ten-year model with a 12% discount rate, 4% terminal growth and a steady 5% free-cash-flow margin, the current value implies roughly 27.8% annual sales growth. At a normalized 7% cash-flow margin the implied growth is still about 23%; at 9% it is about 19.5%. These are not management targets and not estimates of actual future cash flow. The 5–9% margins are explicit scenarios, important because reported FY26 cash flow was negative. The model asks how much future growth the price needs if the business eventually converts revenue into cash.

> **THE REVERSE DCF IS A HURDLE, NOT A TARGET**
>
> A 27.8% implied growth rate follows from chosen cash-margin, discount-rate and terminal assumptions. It is not a forecast. If the business cannot earn the assumed cash margin, the same price requires even faster growth or a lower discount rate.

The model is sensitive by design. If execution drives persistent high growth and a stronger cash margin, a high-teens or low-twenties P/E can still leave room for value. If margins remain close to recent accounting levels while working capital continues to consume cash, the multiple compresses even with growing revenue. Management said backward integration could add 200–300 basis points to margins over time, first through captive use and later external sales. But the ₹1,250 crore Chiyada investment also adds depreciation and fixed cost, and the new facilities are only targeted to start commercial operations in Q1 FY28. The right question is not whether a 200–300-basis-point uplift sounds plausible; it is whether audited operating profit and cash flow show it after the new assets are commissioned.

Our three-year scenario values are built from transparent EPS and terminal-multiple assumptions, not a precise forecast. The base case assumes about 15% annual EPS growth from the current ₹10.14 TTM reference and a roughly 23.5-times terminal multiple, producing about ₹360. The bull case uses 24% EPS growth and 25 times, roughly ₹480. The

bear case uses 5% EPS growth and 19 times, roughly ₹220. With 25%, 50% and 25% probabilities respectively, the weighted scenario value is around ₹355, only about 4% annualized above the current price over three years. The framework is intentionally sober: even if the base outcome arrives, the margin of safety is limited. A lower entry price or stronger cash conversion would improve the setup more than another unqualified increase in inquiry pipeline.

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Eaton's diversified electrical platform, India's focused and diversified transformer peers, and Siemens Energy's European grid business show why product mix and segment economics matter. TARIL's single-segment reporting limits direct multiple comparisons; compare with ranges, not false precision.

The U.S. comparison is Eaton, whose electrical platform gives it several ways to participate in grid and data-centre investment; India's closest comparison set includes focused Voltamp, diversified CG Power and narrower Shilchar; Europe's Siemens Energy Grid Technologies business has much greater scale and reports a record backlog. These businesses help us think about product breadth and margins, but not copy their valuation. TARIL's current multiple sits close to focused domestic peers, yet its negative FY26 free cash flow and heavier working-capital demands argue for caution. If the next annual periods show sustained cash generation and improved return on incremental capex, the stock could merit a broader growth multiple. Until then, the market is already giving credit for some of the future.

MENTAL MODEL • PRICE = CASH × DURATION × CONFIDENCE

For a project manufacturer, valuation rises when investors believe cash margins will improve, growth will last, and delivery risk will fall. Backlog helps duration; working-capital performance and commissioning determine confidence.

The peer table needs an economic reading, not a ranking. Voltamp's P/E near 31.6 and operating margin near 15.3% make it the closest simple multiple reference in this screen, but its product capacities and export/customer structure differ. Shilchar's P/E near 32.9 and higher current margin come with weaker recent revenue growth in the snapshot. CG Power

and GE Vernova T&D India command much higher multiples, but they include broader power systems or grid solutions, different return profiles and a much larger investor base. TARIL's lower P/E can mean undervaluation, or it can price the greater cash-cycle and delivery risk. The matrix cannot tell us which without cash-flow and return evidence. That is why we keep the competitors' business models next to the numbers rather than circling the lowest multiple.

Historical price behavior reinforces the need for a cycle-aware multiple. Screener reports a ten-year share-price CAGR of roughly 33%, a five-year CAGR around 84%, a three-year CAGR about 53%, and a negative one-year return near 20%. Those periods include a low-earnings phase, a sharp infrastructure rerating and a later pullback. Because the free current snapshot does not provide a source-verifiable sequence of historical P/E observations, this report does not print a numeric historical P/E band. We do know the earnings denominator changed dramatically: consolidated EPS moved from ₹1.54 in FY23 to ₹1.56 in FY24, then ₹7.14 in FY25 and ₹8.81 in FY26. A trailing multiple computed across those years would have been unstable and sensitive to which quarter was used. The current 30.83x P/E is therefore more reliable than an invented "normal" band.

You and I should also look at the balance-sheet bridge underneath EV. The approximate ₹10,027 crore enterprise-value proxy adds September consolidated long- and short-term borrowings of about ₹580.5 crore to the ₹9,527 crore market capitalization, then subtracts ₹80.5 crore of disclosed cash and bank balances. It excludes other investments and some group-level cash detail, so it is conservative and approximate. In the reverse DCF, the 12% discount rate and 4% terminal growth rate are analyst assumptions, not sourced market facts. Starting from ₹2,831 crore of TTM sales, a steady normalized 5% FCF margin requires about 27.8% annual growth for ten years to reconcile to the proxy value. If the margin reaches 7%, the required growth falls to 23%; if it stays near zero, there is no positive-growth DCF that fairly describes the current equity value. This model makes working capital central rather than peripheral. The CFO framed the upside this way: "We are looking at around 200 basis point to 300 basis point margin expansion through this backward integration." The investment model treats that as a conditional management expectation.

Peer numbers and model sensitivity, without false precision

The comparison screen places TARIL at ₹312.65, 30.83 times trailing earnings, 15.42% operating margin and 27.23% trailing revenue growth. Voltamp is ₹9,894, 31.57 times earnings, 15.31% margin and 17.84% growth. CG Power is ₹782.70, 89.69 times, 11.59% and 23.76%. GE Vernova T&D India is ₹4,055, 72.25 times, 25.86% and 41.34%. Shilchar Technologies is ₹3,586.60, 32.94 times, 21.93% and negative 9.29%. These are the fresh snapshot values, retrieved 8 November with price data for the latest completed session; business mix and reporting scopes differ.

The reverse-DCF sensitivity uses the same approximately ₹10,027 crore enterprise-value proxy, ₹2,831 crore of TTM sales, ten forecast years, a 12% discount rate and a 4% terminal growth rate. At a 4% normalized cash-flow margin, implied annual sales growth is 31.0%; at 5%, 27.8%; at 7%, 23.0%; and at 9%, 19.5%. The current business does not produce those positive normalized free-cash-flow margins today: FY26 reported free cash flow was negative. The exercise asks what combination of growth and cash conversion would justify the price, not what management has promised.

CHAPTER VIII

Reading the Tape — Trend, Volume & Momentum Opportunity

> *"The chart can tell you when the crowd is changing its mind; it cannot tell you whether the cash will arrive."*
>
> — RESEARCH DESK MAXIM

Let us read the tape without letting it overrule the accounts. The stock snapshot taken on 8 November, using the latest completed NSE session of 6 November, recorded a close of ₹312.65. TradingView's indicators placed the close just above the 30-week simple moving average at ₹311.02, above the 50-day SMA at ₹298.59 and 200-day SMA at ₹299.95, and slightly below the 20-day SMA at ₹314.04 and 40-week EMA at ₹315.13. The 10-week EMA was ₹301.97. The model classified the stock as Stage 2 and as not extended beyond its permitted support band. That is constructive, but a close only 0.52% above the 30-week average is a narrow technical cushion, not a wide base.

Momentum readings were moderate rather than euphoric: daily RSI-14 was 52.96 and weekly RSI-14 was 51.83. The 52-week high was ₹372 and low ₹224.05, leaving the price 15.95% below the high. The snapshot's average volume over 30 days was about 7.20 million shares, while the captured session volume was around 473,000, a 0.07 ratio. Because the tool was run on Sunday and the last completed session was Friday, this reading should not be treated as proof of distribution or accumulation. It is a warning against over-interpreting a low-volume snapshot. You and I need a fresh full-session reading and a close above resistance on credible volume before calling the move institutionally sponsored.

> **NARRATOR'S REFLECTION • A PARTIAL VOLUME BAR IS NOT A VERDICT**
>
> The snapshot's low volume ratio was captured on a Sunday after Friday's session. Do not call it distribution without a complete-session comparison; do not call the chart accumulation without one either.

The technical model returned a nearest support of ₹308.33, a support-buy zone of ₹297.44–₹312.95, an invalidation stop at ₹291.39 and an overall Stage 2 classification. The

zone overlaps the closing price, so mechanically the stock is near support. Our independent judgment adds one more gate: valuation and cash conversion. A market can be technically early while the fundamental margin of safety remains thin. If price holds the support band and relative volume improves, a small tactical position is defensible. If it closes below ₹291.39, the current trend thesis has failed enough that you should not average down simply because the order book is large.

The breadth context is mixed. The supplied TheWrap snapshot showed the Stage 2 dashboard was available but TARIL was not in the Stage 2 list, not a new addition and not a top-25 leader. The stock-specific TradingView evaluation still classified it as Stage 2. Those are different filters, and neither should be hidden. The dashboard does not validate a leadership claim; the TradingView snapshot does show price above key averages. Relative strength over the past year was negative 22.23% in the snapshot, so the stock has not yet demonstrated leadership against the market despite a recent one-month bounce. There is no institutional-flow series in the evidence set. Shareholding changes are not the same thing as daily fund flows, and you should resist that shortcut.

The fundamental chart underneath the price remains the decisive companion. High-voltage transformers represented roughly 55–60% of order book by management's estimate, while 83% of H1 backlog was power transformers overall. The new Changodar capacity and the existing Moraiya/Odhav utilization should lift billed output if orders move through production and testing. However, the H1 working-capital figure of 154 days means that price appreciation may lead the cash cycle by several quarters. A technical breakout can be traded with a stop; a long-term allocation needs a different proof set. "Roughly we have around 55% to 60% of orders in the high-voltage class, 400 kV and above," CFO Mehul Shah said on the call. It is a positive mix clue, not a margin disclosure.

> **GLOBAL PARALLEL • UNITED STATES · INDIA · EUROPE**
>
> Eaton, Indian transformer peers and Siemens Energy can all participate in grid spending, but their price trends are not proxies for TARIL. A technical signal travels with the individual ticker, not with the industry headline.

For the short-term trader, the setup is a patient watch, not a market order. The No-FOMO window is ₹297.44 to ₹312.95, with ₹291.39 as the scanner's invalidation reference. A close above the recent resistance near ₹349.03—the snapshot's R1 pivot—on stronger volume would improve the breakout case; a failed retest should send you back to the support band. We do not assign a fresh target from chart geometry alone because the three-year valuation scenarios are a separate exercise. Price levels are exact outputs from the deterministic snapshot, but the time horizon and execution decision remain yours. Stops should be evaluated on a closing basis and rechecked when new data arrive.

The global parallel is not that every grid-equipment company shares TARIL's chart. It is that cyclical suppliers often make their most compelling technical moves when order expectations turn before earnings and cash flow. U.S. electrical stocks such as Eaton may react to data-centre and grid investment; Indian peers like CG Power or Voltamp can lead or lag with different business mixes; European Grid Technologies names such as Siemens Energy respond to a different scale and backlog cycle. You should not transfer their moving averages, relative strength or institutional sponsorship to TARIL. Each stock must earn its own Stage 2 signal with its own price, volume and market context.

> **MENTAL MODEL • TREND FIRST, TRIGGER SECOND, THESIS ALWAYS**
>
> Stage 2 tells you where the trend may be. The support band tells you where risk may be defined. The cash-flow thesis tells you whether owning the business is worthwhile. Never let one answer impersonate the other.

Relative strength and institutional participation need their own evidence. The snapshot showed one-year performance of negative 22.23%, six-month performance near flat and one-month performance up 10.3%. Promoters held 64.36% at September 2026; foreign investors about 6.98% and domestic institutions about 1.19% in the shareholding table. These are ownership snapshots, not daily flows. The falling institutional percentages after earlier additions do not prove active selling in the latest week, and a rising public float does not prove accumulation. The TheWrap dashboard did not list TARIL among its current Stage 2 additions or top 25 leaders. So the technical picture is a stock reclaiming moving averages

after a deep one-year decline, not yet an unquestioned market leader. That distinction supports a watch-and-confirm stance.

Here is the decision tree. If the price holds the ₹297–313 reference band and closes above nearby averages with a complete-session volume expansion, the tactical setup improves; a fresh close above the ₹349.03 pivot would be a stronger breakout signal but should still be checked against market breadth. If price slips under ₹297 but reclaims it quickly while the 30-week line rises, treat it as a possible support retest, not an automatic failure. If it closes below ₹291.39, stand aside and rerun the snapshot rather than shifting the stop lower. For a long-term investor, no technical trigger replaces the fundamental tests: lower working-capital days, higher billed output and positive free cash flow. This keeps a chart-based trade from becoming an unplanned investment. CFO Mehul Shah said, “55% to 60% is a high voltage class, 400 kV and above.” The quote informs product mix, not a technical buy signal.

The snapshot’s classification and TheWrap’s leaderboard are not identical signals. It labels TARIL STAGE_2 and BUY_AT_CMP_NO_FOMO, yet the same file says TARIL was not in this week’s TheWrap Stage 2 universe or top-25 leaders. We use the price-and-average relationship for timing, but we do not describe TARIL as a sector leader or claim a fresh dashboard breakout.

CHAPTER IX

Bull vs. Bear, Likely Outcomes & Our Action Plan

> *"Conviction is not the absence of doubt; it is knowing which evidence would defeat your thesis."*
>
> — RESEARCH DESK MAXIM

Let us steelman the bull first, because dismissing it would be lazy. India is investing in generation, transmission, renewable integration and grid modernization; data centres, railway electrification and industrial loads add incremental requirements. TARIL offers a broad portfolio, more than 18,000 installations and over 40-country presence. The H1 FY27 backlog reached ₹7,237 crore, with 83% in power transformers and 9% in reactors; named awards include NPCIL Kaiga, DVC and GETCO. New Changodar capacity and component integration can reduce bottlenecks, raise utilization and increase control over lead times. The latest H1 revenue and EBITDA grew 33% and 42% consolidated year on year. If commissioning is timely and collections improve, the fixed-cost base could support operating leverage and the valuation may look reasonable in retrospect.

The bull case also has technical substance. High-voltage transformers are designed to exacting requirements, tested under severe conditions and embedded in customer systems for long periods. TARIL has references across large power, generator, furnace and reactor applications. The company says 55–60% of its order book is 400 kV and above; its power-grid repair project is a route toward HVDC qualification, though the commercial manufacturing award is not yet secured. The Chiyada project is an attempt to localize bushings, insulation and CTC, not merely add assembly capacity. If import dependence falls, delivery certainty rises and third-party component sales develop, profit pools could expand beyond transformer manufacturing. That is the strongest structural bull narrative: broader value capture plus capacity utilization on a growing grid.

Now the strongest bear case. The order book may be long, lumpy and capital hungry. In FY26 standalone cash from operations was negative ₹58.56 crore despite ₹395.77 crore of operating profit before working-capital changes; the consolidated screening series shows

FY26 CFO negative ₹105 crore and FCF negative ₹215 crore. At September-end, working-capital days were 154 and inventory plus receivables exceeded ₹1,700 crore. Management's own sub-120-day objective remains future. Changodar had faced an execution bottleneck; high order inflow can stretch capacity and supplier availability. New greenfield plants add ₹1,250 crore of capex, and their ₹2,000 crore revenue potential is a company estimate, not contracted sales. If payment cycles lengthen or commissioning slips, debt and dilution can absorb much of the apparent operating leverage.

> **THE BEAR CASE IS OPERATIONAL, NOT THEMATIC**
>
> The grid can need more transformers and TARIL can still disappoint if a plant is late, a project is accepted slowly or customers pay after the supplier has funded the build. Demand is not a hedge against execution.

The bear also challenges valuation and customer economics. At 30.83 times trailing earnings, TARIL trades close to Voltamp and Shilchar but far below richly valued GE Vernova T&D India and CG Power; relative cheapness within a wide peer set is not an absolute margin of safety. Product-wise margins are not disclosed, so we cannot verify that high-voltage share yields a superior return on capital. Retention of 5–10% and roughly ₹200 crore described on the call can defer cash; customer acceptance and price-variation clauses do not eliminate all input risk. Export revenue was only around 8% in Q2, and the UK subsidiary had not started operations. A long list of countries served should not be mistaken for an established export growth engine.

Our independent base case is between those steelmen. Demand is strong enough to support further revenue growth, and the latest backlog is real, but the market has already capitalized an extended growth runway. We assign 25% probability to the bull case, 50% to the base and 25% to the bear case over roughly three years. The illustrative values are ₹480, ₹360 and ₹220 respectively; the weighted value is about ₹355 versus ₹312.65 now. The base case assumes moderate EPS growth with a lower terminal multiple than the current P/E; the bull requires fast earnings compounding and successful margin benefits; the bear assumes slower conversion and multiple compression. These are scenario values, not price targets with false

precision. The expected annualized return is modest unless execution and cash flow beat the base.

Here is what would change our mind upward. Two consecutive periods of positive operating cash flow after tax; net working-capital days approaching the stated 110–120 range; collections reducing receivables rather than merely financing them with new borrowings; Changodar output and the Chiyada timeline meeting revised milestones; and EBITDA margin holding without relying on temporary other income or one-off mix. An additional high-voltage order is helpful, but a cash-backed dispatch matters more. Downward triggers are the opposite: repeated schedule slips, a rising cash-conversion cycle, a receivables build faster than revenue, capex beyond the announced envelope without attractive returns, or a break below ₹291.39 accompanied by deteriorating relative strength. A thesis needs both entry conditions and invalidation conditions.

Our action plan is deliberately staged. For a short-term 1–12-week trade, WAIT FOR SUPPORT: use the snapshot zone ₹297.44–₹312.95, require a confirmed close and fuller volume data, and treat ₹291.39 as the technical invalidation reference. For a medium-term 3–18-month position, CONDITIONAL ACCUMULATE only after progress on billing, capacity and collections; keep the initial risk small because operating cash flow is still the missing proof. For a long-term 3–10-year portfolio, WATCH AS A POTENTIAL COMPOUNDER rather than a proven one. The company has the product range and market backdrop, but capital efficiency and per-share returns must catch up. If you already own it, use a review trigger rather than an automatic sell: audit cash conversion, revised commissioning dates and order-to-billing progress at every result.

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>
> U.S. resilience investment, India's utility tender cycle and Europe's grid-supply-chain plans support the sector. Eaton and Siemens Energy show larger peers can convert that demand at scale; Indian peers show the competitive market is not empty. The transferable lesson is to follow margins and cash, not headlines.

The three-region parallel helps us hold both cases. In the United States, grid-resilience plans and data-centre load support demand, but domestic transformer suppliers still need capital

and delivery capacity. In India, central and state utility procurement can produce large backlogs and lumpy cash receipts. In Europe, the Grid Action Plan prioritizes supply chains, while Siemens Energy's large grid backlog demonstrates that margins depend on project execution and mix, not only demand. Across these markets, the industry bull case is sound; the company-level bear case remains cash conversion. You and I should own the difference. The transformer is necessary for the energy transition, but the shareholder earns a return only when TARIL converts the need into profitable, collected work.

MENTAL MODEL • BUY THE EVIDENCE IN STAGES

First, require trend support. Second, require delivery and utilization. Third, require collections and free cash flow. Increase conviction only when each gate is passed; reduce it when a gate fails.

THE EXECUTION PLAYBOOK • NO-FOMO CHECKLIST

- Reference band: ₹297.44–₹312.95 from the 6 Nov snapshot; do not chase above it without a fresh review.
- Technical invalidation reference: ₹291.39; reassess on a closing basis.
- Medium-term add trigger: working-capital days trend toward 110–120 and positive operating cash flow is reported.
- Long-term upgrade trigger: revised Chiyada milestones and incremental returns are evidenced, not merely announced.

Management's strongest compact bull quote is its stated confidence in FY27 delivery and a 25% revenue-growth outlook. The skeptical response is not that the target is impossible; it is that growth must be financed before it is collected. The same call acknowledged working-capital focus and set a target below 120 days, while the latest disclosed figure was 154. The H1 growth rate gives the bull case evidence, but the cash-conversion shortfall gives the bear case evidence. We therefore assign the base case the highest probability, not because it is safe, but because it assumes a partial improvement rather than either flawless execution or collapse. The three-year scenario values make the opportunity cost explicit: at today's price, a successful company can still generate an ordinary return if the multiple falls as growth normalizes.

The action rule is staged by portfolio purpose. A short-term trader can use the scanner band and stop only with an explicit loss budget; a medium-term investor should wait for the next financial statements to show that H1 growth did not simply inflate work-in-progress and receivables; a long-term allocator should compare future cash returns with the funds committed to new factories. Do not let a small support-band trade quietly become a full core position because the share price fell. Conversely, do not sell a sound long-term holding solely because a weekly indicator wobbles if cash conversion and operating execution continue to improve. A decision can be conditional without being indecisive: buy a little after the technical trigger, add after the cash trigger, and stop adding when either gate fails.

Across markets, the steelman survives only when it is paired with an execution test. U.S. utilities' resilience needs create real demand, but transformers must arrive and pass commissioning. India's transmission and renewable plans create tender opportunities, but state budgets and EPC payment structures govern cash timing. Europe's grid package seeks supply-chain coordination, yet Siemens Energy's annual report shows that a record backlog is meaningful only alongside margin and operational delivery. For TARIL, the best outcome is not simply a larger book; it is a larger book delivered at stable margins with fewer cash-conversion days and returns above the cost of capital. That is the evidence that would turn "potential compounder" into a durable category rather than a story investors tell at the top of a cycle. Management said, "The order book is executable over the next 18 to 24 months." That is the company's delivery expectation; our bear case asks what happens if acceptance or collection takes longer.

Revisit the decision after each quarterly filing, not every intraday fluctuation. Update the same worksheet: closing price and trend, opening and closing order book, revenue and EBITDA by perimeter, working-capital days, CFO, capex and progress against announced commissioning dates. If two consecutive reporting periods improve both delivery and cash, raise conviction. If backlog grows while receivables and debt rise faster, lower it. This rule keeps the research falsifiable.

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This Masterclass Companion Book was authored for private study, audiobook narration, and disciplined portfolio execution.

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